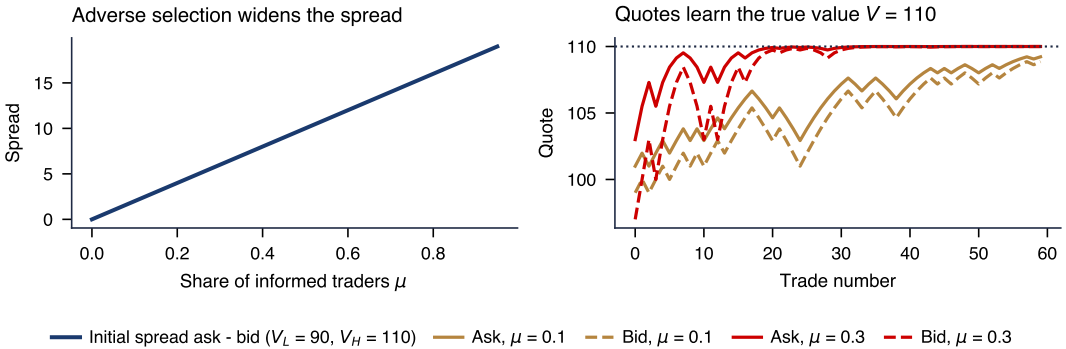
Adverse selection widens the spread
Spread
0
5
10
15
0.0
0.2
0.4
0.6
0.8
Share of informed traders μ
Quotes learn the true value V = 110
Quote
100
105
110
0
10
20
30
40
50
60
Trade number
Initial spread ask - bid (V_L = 90, V_H = 110)
Ask, μ = 0.1
Bid, μ = 0.1
Ask, μ = 0.3
Bid, μ = 0.3